PRE-EARNINGS RESEARCH | SEPTEMBER 10, 2026

Oracle Corporation

ORCL | Q1 FY2027 earnings after market close | Preliminary coverage

REFERENCE PRICE	FAIR VALUE	12M TARGET	EVENT TARGET
$159.25	**WITHHELD**	**WITHHELD**	**$175.97**
Frozen Sep 10, 9:04 a.m. ET	Capital and cash-return gate	Not inferred from event target	+10.5% for Sep 11 close

RATING

WATCH

Research confidence: preliminary / low

INVESTMENT CONCLUSION

Demand is visible; shareholder returns are not yet proven.

Oracle enters Q1 FY2027 with exceptional contracted demand and an aggressive cloud buildout. The investable question is whether capacity converts a $638B backlog into high-quality revenue and free cash flow fast enough to offset debt, equity issuance and dilution.

What matters now

Evidence	Current read	Decision relevance
Revenue growth guide	27-29%	Minimum top-line hurdle for the quarter
Cloud growth guide	58-64%	Capacity delivery and demand conversion test
Non-GAAP EPS guide	$1.72-$1.76	Not directly comparable with GAAP EPS model
Remaining performance obligations	$638B	Future contracted obligation, not current revenue or cash
Last FY free cash flow	-$23.7B	Shows the cost of the current infrastructure ramp
Expected FY2027 debt/equity financing	Approx. $40B	Financing mix and dilution are part of equity value

Earnings decision rules

BEAR	BASE	BULL
Growth misses; funding pressure rises Revenue growth below 27%, EPS below $1.72, slower backlog conversion or a larger financing requirement weakens both earnings quality and future valuation.	**Backlog converts; cash proof lags** Guidance is broadly met and cloud stays strong, while capex and financing keep the shares on WATCH pending free-cash-flow evidence.	**Capacity arrives with disciplined funding** Growth clears the upper guide, deployment remains on schedule and financing does not become more dilutive.

Action: do not chase the backlog headline. Reassess after guidance, financing mix, capex and cash-conversion evidence are published.

Valuation framework

Fair Value answers what the business is worth today. The 12-month target adds the next year of execution, catalysts and risk. The one-session event target answers a separate market-reaction question.

Method	Role	Weight now	Publication requirement
DCF / FCFF	Primary intrinsic value	0% - gated	Post-capex FCF, financing cost and dilution schedule
Forward P/E	Earnings cross-check	0% - gated	Comparable GAAP EPS and recurring earnings bridge
EV / EBITDA	Capital structure cross-check	0% - gated	Net debt after planned financing and normalized EBITDA
EV / Revenue	Growth cross-check only	0% - gated	Cloud mix, margin path and peer-consistent definitions

PUBLICATION GATE

No false precision

A positive target requires a fully sourced share count, net-debt bridge, capex path and cash-return framework. Until then, Fair Value, 12M Target and Buy Zone remain withheld.

VALUATION BRIDGE

No revision published

There is no prior published 12-month target to revise. The first bridge will quantify operating-estimate changes, multiple changes, net-debt changes and dilution after the evidence gate clears.

Forecast accountability

Record	Frozen input	Published view	Status
Q1 FY2027 event call	$159.25 on Sep 10	$175.97 for Sep 11 close (+10.5%)	Open
Fair Value	Not complete	Not published	Gated
12M target	Not complete	Not published	Gated

The event amplitude uses Oracle's last three earnings windows: median absolute move 10.2%, 75th percentile 10.4%. This historical sample is not Signal Ledger prediction accuracy. The open forecast is not counted as a win.

Sources

Oracle FY2026 Q4 results and Q1 FY2027 guidance

https://www.oracle.com/news/announcement/q4fy26-earnings-release-2026-06-10/

Oracle Q1 FY2027 earnings date announcement

https://investor.oracle.com/investor-news/news-details/2026/Oracle-Sets-the-Date-for-its-First-Quarter-Fiscal-Year-2027-Earnings-Announcement/default.aspx

SEC Company Facts for Oracle

https://data.sec.gov/api/xbrl/companyfacts/CIK0001341439.json

Nasdaq ORCL quote endpoint

https://api.nasdaq.com/api/quote/ORCL/info?assetclass=stocks

Research status

This note is a frozen pre-earnings research record. New evidence should create a new dated report rather than overwrite this document. It is not investment advice and does not place trades.